

Employing in Indonesia

What You Need to Know · Employment Hero HeroForce EOR · July 2026

What does the EOR handle for you?

- **Employment contracts** — compliant contracts under the Job Creation Law (UU Cipta Kerja) and PP 35/2021
- **Monthly payroll** — salary payments in IDR, itemised payslips
- **Tax withholding** — PPh 21 calculated using the TER (Average Effective Rate) method
- **BPJS** — Ketenagakerjaan (employment) and Kesehatan (health) social security enrolment and contributions
- **Leave and termination management** — notice periods, THR bonus and severance (pesangon) guidance

Employment Conditions

Contracts & Probation

Indonesia's Omnibus Law (UU Cipta Kerja, now Law No. 6 of 2023) restructured fixed-term contracts and severance. Fixed-term contracts (PKWT) are capped at 5 years total including renewals, after which they convert to permanent employment (PKWTT).

Item	Detail	Legal Basis
Fixed-term contracts (PKWT)	Capped at 5 years total including renewals; converts to permanent thereafter	UU Cipta Kerja / PP 35/2021
Probation period	Maximum 3 months (permanent employees only — PKWT cannot have probation)	Manpower Law, Art. 60
PKWT compensation	Compensation payment due at contract end, separate from severance	PP 35/2021

Working Hours & Overtime

Rule	Detail	Authority
Standard hours	8 hrs/day, 40 hrs/week (5-day week) or 7 hrs/day (6-day week)	Manpower Law, Art. 77
Overtime premium	150% for the first hour, 200% for subsequent hours (workday); higher on rest days/holidays	PP 35/2021
Overtime cap	Maximum 4 hours/day, 18 hours/week	Manpower Law

Minimum Wage (2026)

Indonesia sets minimum wages provincially (UMP) and, in many cases, at city/regency level (UMK), which cannot fall below the provincial rate. 2026 increases range from roughly 5%–7% depending on the region, using a formula of inflation plus (growth × alpha).

Region	Indicative 2026 Minimum Wage	Notes
DKI Jakarta (provincial)	IDR 5,729,876/month	Highest provincial rate in Indonesia
Bali (provincial)	IDR 3,207,459/month	+7.04% from 2025; regency-level UMK may be higher
Lower-cost provinces (e.g. parts of Central/West Java)	From ~IDR 2.3 million/month	Set independently by each province/regency

Leave Entitlements

Leave Type	Entitlement	Who Pays	Key Condition
Annual Leave	12 days/year	Employer	After 12 months' continuous service
THR (religious holiday allowance)	1 month's salary/year (pro-rated under 12 months)	Employer	Mandatory, paid before the employee's religious holiday (e.g. Eid); penalties apply for late payment
Maternity Leave	3 months (1.5 before + 1.5 after birth)	Employer, full pay	No government reimbursement scheme
Paternity Leave	2 days	Employer	For the birth of a child

★ HERO TIP

THR is one of Indonesia's most operationally distinctive requirements — it's a full month's salary (pro-rated for under 12 months' service) paid before each employee's major religious holiday, and late payment triggers an automatic 5% penalty regardless of the reason. Build THR timing into your Indonesia payroll calendar from day one rather than treating it as a discretionary bonus.

Payroll, Tax & Contributions

Employer BPJS Contributions (2026)

Contribution	Employer Rate	Notes
Work Accident (JKK)	0.24%–1.74% of wages	Varies by workplace risk classification
Death Benefit (JKM)	0.3% of wages	Flat rate
Old Age Savings (JHT)	3.7% of wages	Employee adds 2%
Pension (JP)	2% of wages	Capped at IDR 11,086,300/month wage ceiling (from March 2026)
Job Loss Guarantee (JKB)	0.36% of wages	Reduced rate under 2026 regulatory refinements

Job Loss Guarantee (JLG)	0.50% of wages	Reduced rate under 2020 regulatory amendments
BPJS Kesehatan (health)	4% of wages	Employee adds 1%; capped at IDR 12,000,000/month wage ceiling

Total Cost Example — USD \$3,000 Gross Monthly Salary

Cost Item	Amount (USD)	% of Gross
Gross salary	\$3,000.00	100%
BPJS Ketenagakerjaan (JKK+JKM+JHT+JP+JKP, illustrative ~7%)	\$210.00	7.00%
BPJS Kesehatan (4%, capped)	\$120.00	4.00%
THR accrual (1/12 of salary)	\$250.00	8.33%
EOR service fee (HeroForce, Tier 2)	\$600.00	20.00%
Estimated total monthly cost	~\$4,180.00	~139.3%

HeroForce EOR service fee shown at USD \$600 per employee per month (Tier 2 pricing), no setup fee. BPJS Kesehatan and JP are shown near their statutory wage ceilings, which apply well below a USD \$3,000/month professional salary — actual contributions above the ceiling do not increase further. Employee deductions (withheld separately) include employee-side BPJS shares and PPh 21 under the TER method.

Income Tax (PPh 21, 2026)

Indonesia's progressive brackets are unchanged through 2026. Employers use the TER (Average Effective Rate) method for monthly withholding (Jan–Nov), with a full annual reconciliation in December using the progressive brackets below.

Annual Taxable Income (IDR)	Rate
Up to 60,000,000	5%
60,000,001 – 250,000,000	15%
250,000,001 – 500,000,000	25%
500,000,001 – 5,000,000,000	30%
Above 5,000,000,000	35%

Non-taxable income (PTKP): IDR 54,000,000/year for individuals, plus IDR 4,500,000 for a non-working spouse and per dependent (max 3 dependents).

Termination & Separation

Severance Pay (Pesangon)

Termination compensation in Indonesia has three components: Uang Pesangon (UP, severance by service length), Uang Penghargaan Masa Kerja (UPMK, long-service award after 3+ years), and Uang Penggantian Hak (UPH, compensation for unused leave and other rights). The multiplier applied to UP and UPMK depends on the reason for termination.

Termination Reason	UP Multiplier	Notes
Business-related redundancy	1× standard UP + 1× UPMK	PP 35/2021
Retrenchment/efficiency (company loss)	0.5× standard UP + 1× UPMK	PP 35/2021
Prolonged illness, disability or death	2× standard UP	PP 35/2021
Gross misconduct	0× (no UP entitlement)	PP 35/2021

Severance is capped at 9 months' wages, and UPH is commonly calculated as 15% of the combined UP + UPMK.

★ HERO TIP

Indonesia's severance obligations are among the highest in ASEAN, and the correct multiplier depends entirely on documenting the true reason for termination — a poorly evidenced "redundancy" that a labour court later reclassifies can double the compensation owed. Always route Indonesia terminations through your HeroForce EOR and ensure the termination reason is properly substantiated before notice is given.

Public Holidays 2026 (National)

Indonesia observes a mix of fixed national holidays and moveable religious holidays (Islamic, Hindu, Buddhist and Christian), plus "cuti bersama" joint leave days announced annually by the government.

Date (2026, approx.)	Holiday	Type
1 January	New Year's Day	National
~March	Nyepi (Balinese Day of Silence)	National (Hindu calendar)
~March/April	Eid al-Fitr (Idul Fitri, 2 days + cuti bersama)	National (Islamic calendar)
3 April	Good Friday	National
1 May	Labour Day	National
~May	Eid al-Adha (Idul Adha)	National (Islamic calendar)
17 August	Independence Day	National
25 December	Christmas Day	National

Idul Fitri is Indonesia's most significant holiday period, typically extended by several cuti bersama days — confirm the finalised government schedule closer to the date, as Islamic calendar dates depend on moon-sighting.

Ready to hire in Indonesia?

HeroForce by Employment Hero is an Employer of Record solution that handles hiring, contracts, compliance and payroll across 180+ countries.

Onboard your first Indonesia employee in as little as one to two weeks — HeroForce EOR service fee: **USD \$600** per employee per month, no setup fee (Tier 2).